Ultra Sound Money: Ethereum's Supply Dynamics & Monetary Thesis

Post-merge ETH economics | Supply: 121,603,980 ETH | Avg gas: 0.1 Gwei | ETH: $2,243

Data-forward analysis for crypto-native investors

How issuance, burn, gas, and staking define ETH's monetary premium

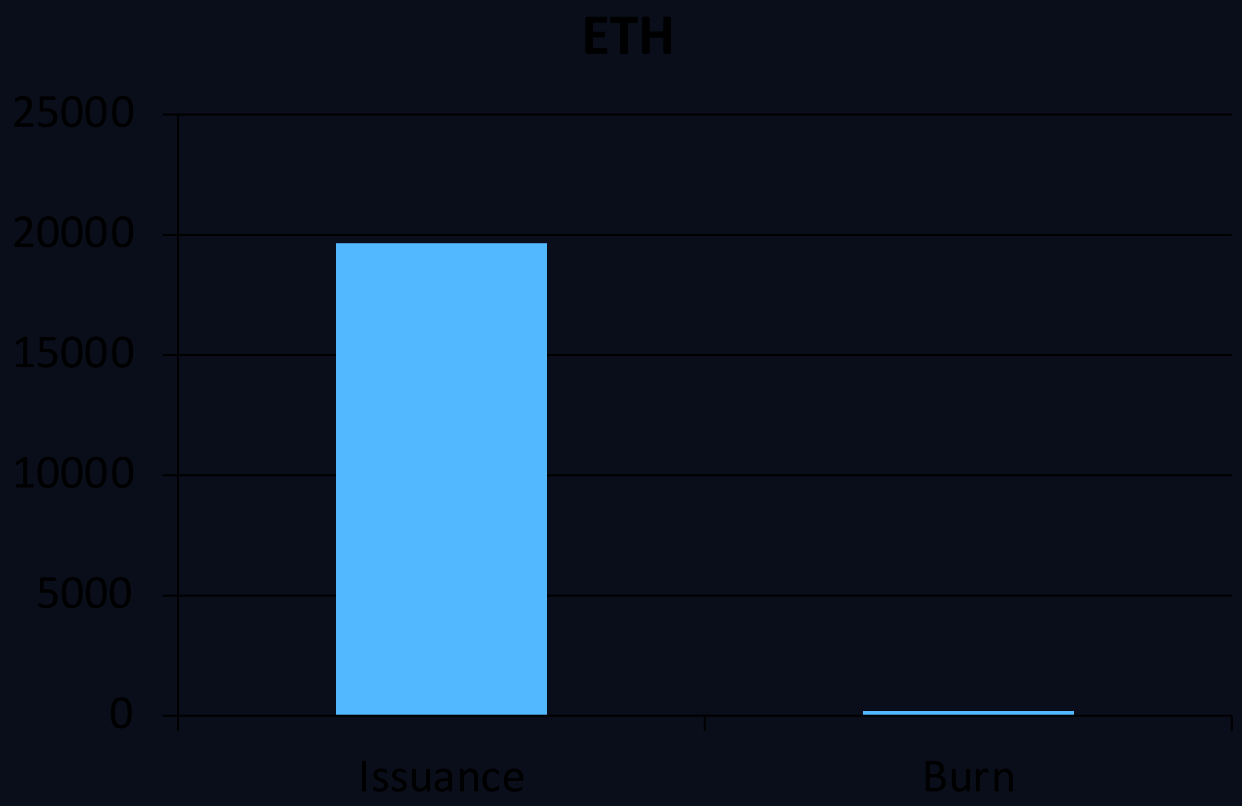
Current headwind: low activity suppresses burn; structure remains intact

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

Current supply: 121,603,980 ETH

7D net change: +19,445.89 ETH

Offset ratio (burn/issuance): 0.01x



Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 burns base fee from every transaction

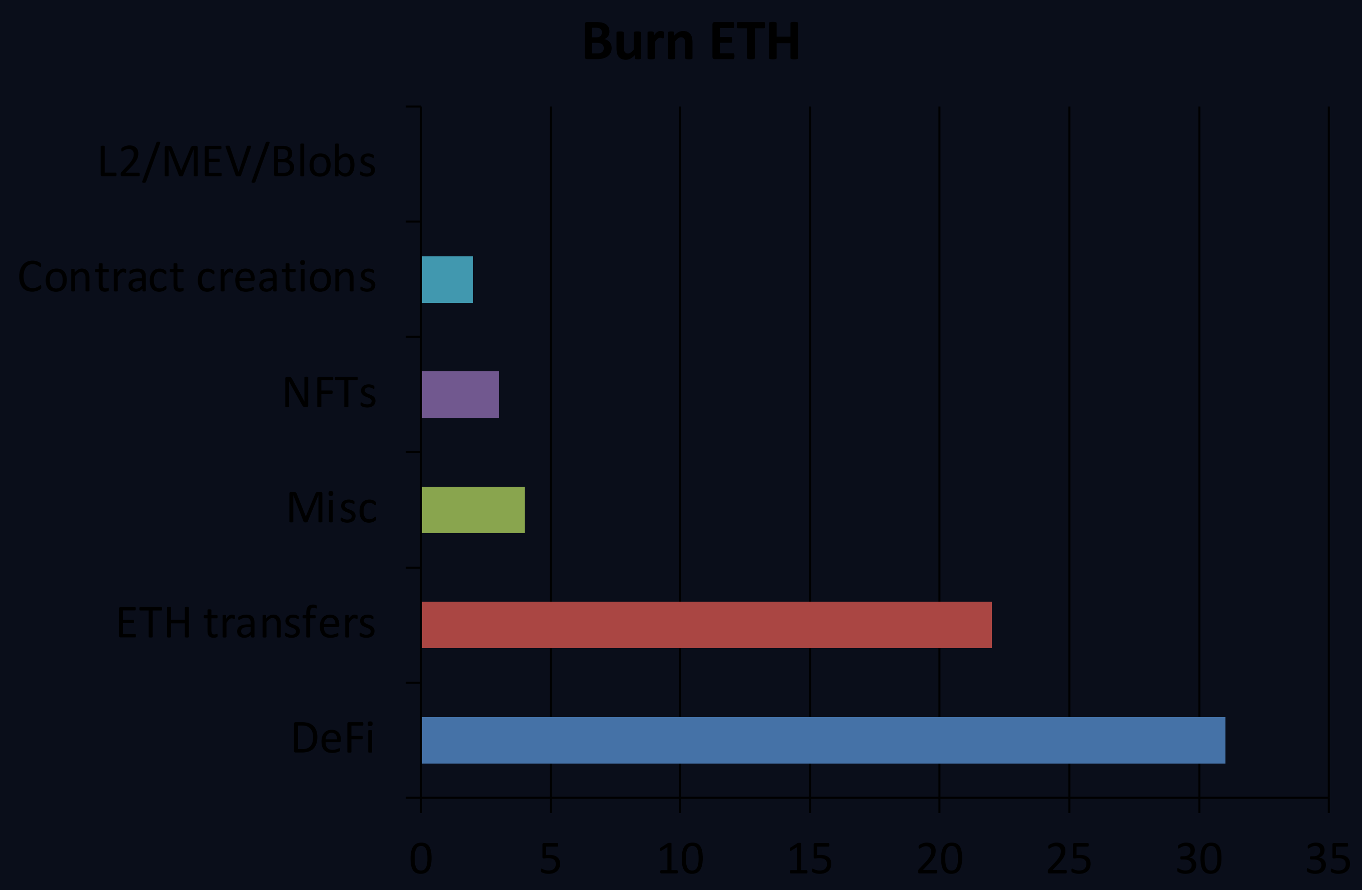
Gas range (7D): min 0.0 | max 1.3 | avg 0.1 Gwei

Blob base fee avg: ~7.1M wei

Blob fees burned (7D): 0.15 ETH

Projection equilibrium assumes ~22 Gwei (far above current)

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn



Top burn leaderboard (7D)

ETH transfers: 21.7 ETH
Tether: 13.6 ETH
Uniswap V3: 11.4 ETH
USDC: 9.2 ETH
MetaMask: 3.6 ETH

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

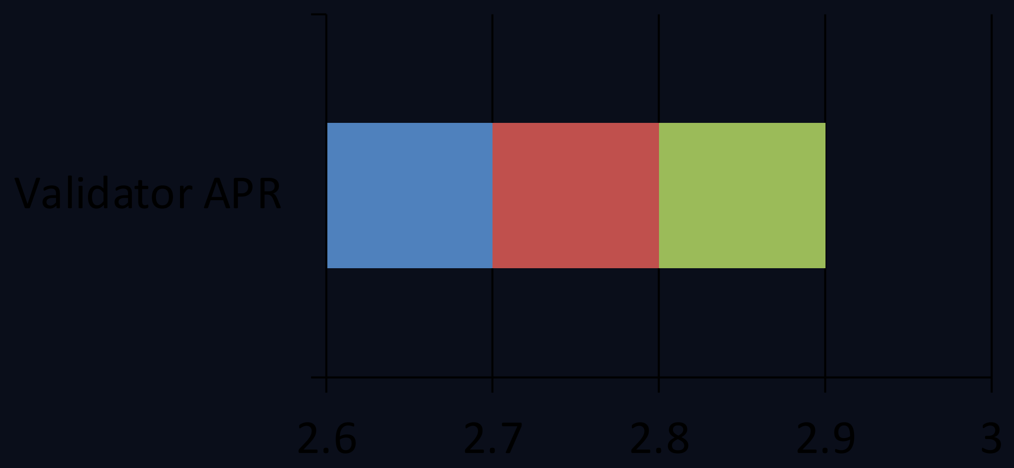
ETH staked: 38.9M ETH (~32% of supply)

Reward APR composition:

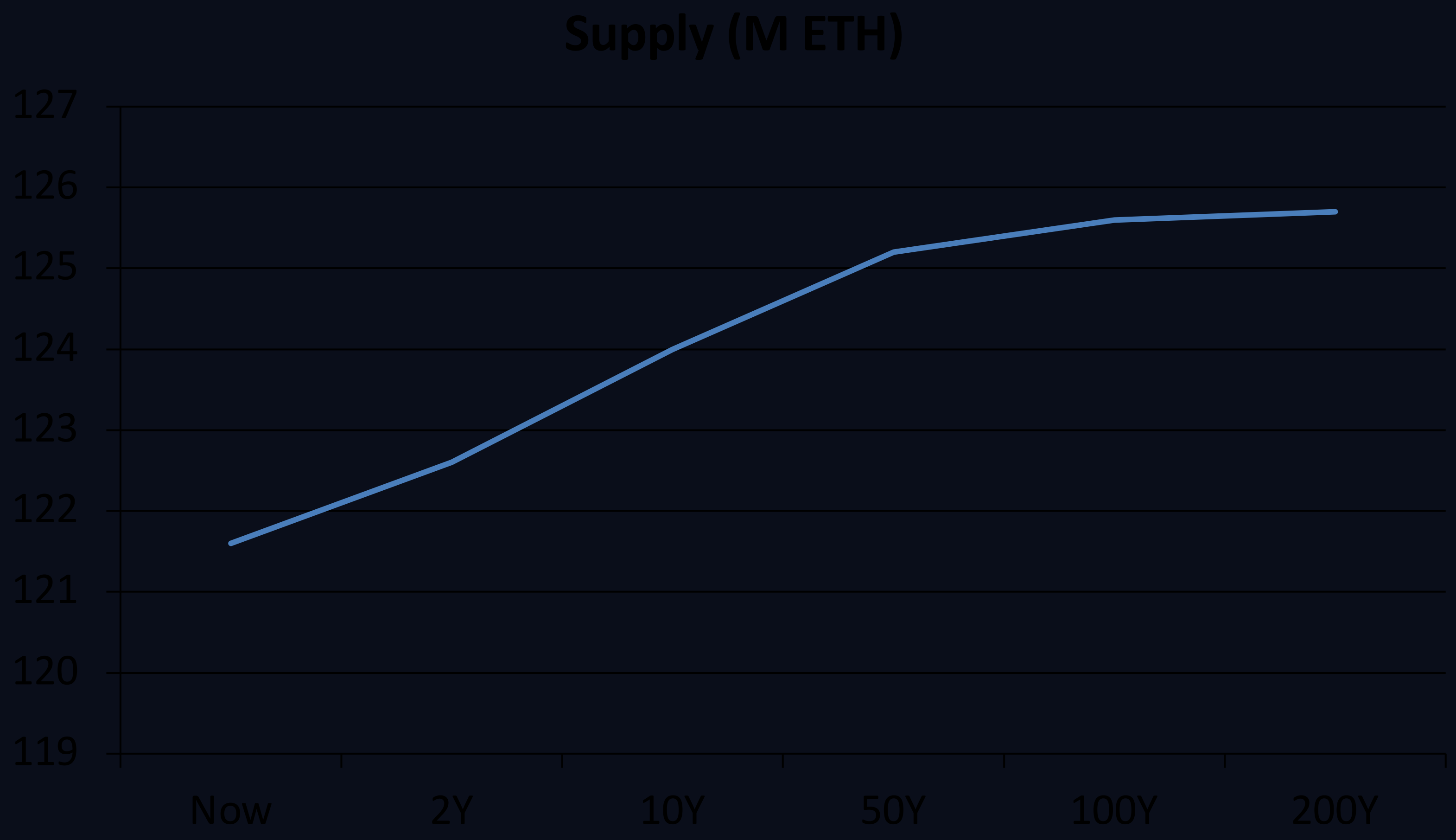
Issuance: 2.7% | Tips: 0.1% | MEV: 0.1%

Staking contracts lock: 9.1M ETH

Average lock horizon: 10.7 years



Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Iss



Projection parameters
Staked ETH: 39M
Base gas assumption: 22 Gwei
PoS issuance: ~2.8K ETH/day
Burn: ~2.2K ETH/day
Equilibrium level: 125.7M ETH

ETH at 18.7% of Bitcoin's Market Cap, Securing $272B in Native Value

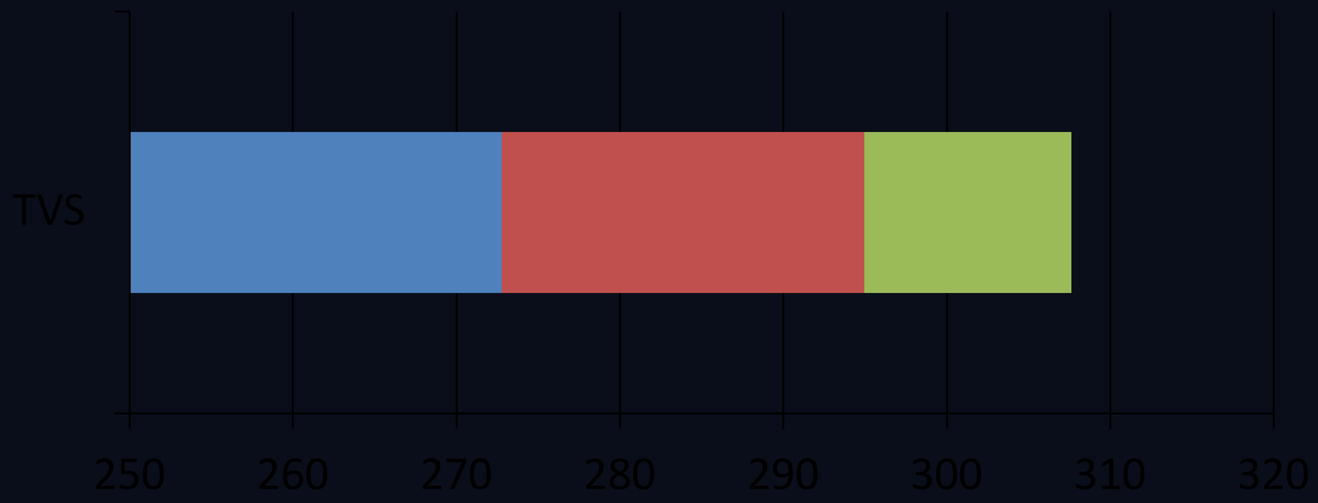
Flippening progress

BTC: 18.7% | Gold: 0.89% | USD: 1.30%

Top ERC20s: Dai $4.41B, SHIB $3.51B, Cronos $2.97B, XAUT $2.

Top NFTs: CryptoPunks $2.13B, BAYC $0.68B, ENS $0.63B, Pudg

Total secured: ~$307.6B



Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Cr

ETH is currently slightly inflationary (+0.83%/yr) because gas is historically low (avg 0.1 Gwei).

Burn mechanics function as designed, but meaningful supply offset requires sustained on-chain demand.

38.9M ETH staked and 9.1M ETH in long-duration staking contracts reinforce structural scarcity.

Long-term model converges to ~125.7M ETH under 39M staked and ~22 Gwei activity assumptions.

18.7% BTC flippening progress and ~$307.6B TVS signal a growing monetary premium despite near-term headwinds.